

Phase of globalisation-aided growth is facing challenges. India must be prepared

Globalisation — the free flow of goods, services, labour, capital and ideas — **has** been **incontrovertibly** beneficial for India, **lifting** its average annual growth rate to nearly 6.5 per cent since the early Nineties (from 3.5 per cent during 1950-1990) and **per capita** GDP from \$320 to \$2,500. While international trade in goods may have slowed down since 2010, the other components of globalisation haven't, at least until recently. In fact, India's **export** of services, particularly software and back-office/business support operations through global capability centres, **has boomed** in the past **decade**, even as it has remained the top global recipient of **remittances** and continued to attract capital flows. But this **phase** of globalisation-aided growth **is** increasingly facing challenges, if not coming to an end. It's something India must be prepared for.

The International Monetary Fund expects world goods and services trade to grow by just 1.7 per cent in 2025 and 2.5 per cent in 2026, down from its **projections** of 3.2 per cent and 3.3 per cent in January. The fall is even more relative to the 5.8 per cent average annual increase between 1995 and 2023, as per the World Trade Organisation's estimates. The worry, moreover, is that this cannot be **attributed to a one-off event** (like the Covid-19 pandemic) or impersonal forces (the 2008 global financial crisis). Instead, the **drivers** are more structural and policy-induced, **entailing** a reordering of the **geopolitical landscape** — and coming mainly from a country that was the greatest **proponent** of free markets, **liberalisation** and **deregulation**. When the US under President Donald Trump raises its average effective **tariff** rate to 28 per cent — the highest since 1901, according to Yale University's Budget Lab — and **ratchets up** a trade war with the world's second largest economy, China, it is no ordinary shock. It **upends** the **twin** assumptions of comparative advantage and **doux commerce** on which globalisation **thrived**.

The slowing down of that engine will definitely hurt India, and maybe even **shave** a percentage point or more off its near-term GDP growth. The overall uncertain global economic **environment**, whether to do with Trump's trade policies or fears of Chinese **dumping**, **could dampen** investment and hiring plans by businesses. **Escalating tensions** with Pakistan, **post** Pahalgam, **aren't** going to help either. The only **consolation** is India's reasonably **sound macroeconomic stability** indicators. Annual **consumer price inflation**, at 3.3 per cent in March, **is** the lowest since August 2019. Forex reserves are at a six-month high of \$686 billion after **depleting** to below \$625 billion in mid-January. The rupee has also recovered to 85.4 to the dollar, from the near-88 lows of only two-and-a-half months ago. The focus should now be on reforms to improve the ease of doing business and reduce **compliance burdens**. These would **pay off** when the **tide turns** again in favour of globalisation. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

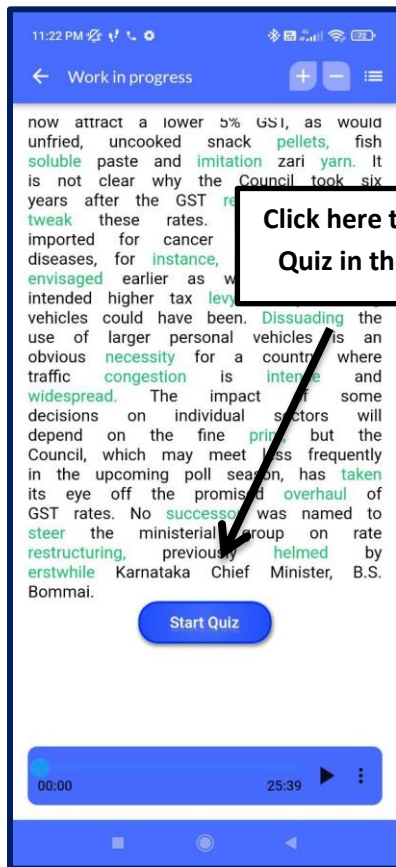
1. **Globalisation** (noun) – a term used to describe how trade and technology have made the world into a more connected and interdependent place वैश्वीकरण
2. **Incontrovertibly** (adverb) – undeniably, unquestionably, indisputably, irrefutably, certainly निर्विवाद रूप से
3. **Lift** (verb) – raise, boost, elevate, increase, improve बढ़ाना / उठाना
4. **Per capita** (adjective) – per person, individual, each person, for each, per head प्रति व्यक्ति
5. **Boom** (verb) – flourish, prosper, expand, thrive, grow rapidly तेज़ी से बढ़ना
6. **Decade** (noun) – period ten years, दशक
7. **Remittance** (noun) – money transfer, payment, funds sent, wire transfer, financial dispatch प्रेषण
8. **Projection** (noun) – forecast, prediction, estimate, outlook, expectation पूर्वानुमान
9. **Attribute** (to) (verb) – ascribe, assign, credit, impute, connect कारण बताना / जोड़ना
10. **One-off event** (noun) – something that happens or is made or done only once एक बार की घटना
11. **Driver** (noun) – cause, factor, motivator, force, catalyst प्रेरक तत्व
12. **Entail** (verb) – involve, require, necessitate, demand, call for आवश्यक बनाना / शामिल होना
13. **Geopolitical** (adjective) – relating to politics and geography, international political, global political, geopolitical भू-राजनीतिक
14. **Landscape** (noun) – scenario, situation, environment, setting, terrain परिदृश्य
15. **Proponent** (noun) – supporter, advocate, champion, promoter, defender समर्थक
16. **Liberalisation** (noun) – the removal or loosening of restrictions on something, typically an economic or political system उदारीकरण
17. **Deregulation** (noun) – removal of regulations, liberalisation, relaxation of laws, market freedom, easing restrictions नियमों की समाप्ति
18. **Tariff** (noun) – duty, tax, levy, customs fee, import tax शुल्क
19. **Ratchet up** (phrasal verb) – increase, escalate, raise, intensify, heighten बढ़ाना / तेज़ करना

20. **Upend** (verb) – overturn, disrupt, destabilize, overthrow, unsettle उलट देना
21. **Twin** (adjective) – dual, double, paired, twofold, two-pronged दोहरा
22. **Doux commerce** (noun) – a concept originating from the Age of Enlightenment stating that commerce tends to civilize people, making them less likely to resort to violent or irrational behaviors व्यापार के माध्यम से सभ्यता (शांतिपूर्ण व्यापार का सिद्धांत)
23. **Thrive** (verb) – prosper, flourish, grow, succeed, boom फलना-फूलना
24. **Shave** (verb) – reduce, cut down, lessen, trim, decrease घटाना
25. **Dumping** (noun) – unfair trade practice, selling at low prices, price undercutting, underpricing, mass disposal औने-पौने में बिक्री / डंपिंग
26. **Dampen** (verb) – reduce, lessen, suppress, deaden, discourage कम करना / मंद करना
27. **Escalating** (adjective) – increasing, intensifying, rising, growing, mounting बढ़ती हुई
28. **Post** (adjective) – after, following, subsequent to, ensuing, later बाद का
29. **Consolation** (noun) – comfort, solace, relief, support, encouragement सांत्वना
30. **Sound** (adjective) – strong, stable, robust, healthy, solid मजबूत / सुरक्षित
31. **Macroeconomic stability** (noun) – it is important for high and long-term growth because it is important for economic growth to be steady
32. **Consumer price inflation** (noun) – it refers to the rate at which the prices of goods and services commonly purchased by households increase over a period of time उपभोक्ता मूल्य मुद्रास्फीति
33. **Deplete** (verb) – exhaust, use up, drain, empty, diminish घटाना / समाप्त करना
34. **Compliance burden** (noun) – refers to the excessive effort, time, and resources required to meet regulatory obligations or internal policies.
35. **Pay off** (phrasal verb) – yield results, succeed, be fruitful, bear fruit, bring benefit फल देना
36. **Turn the tide** (phrase) – reverse the situation, change the course, shift momentum, change direction, bring a turnaround स्थिति पलटना

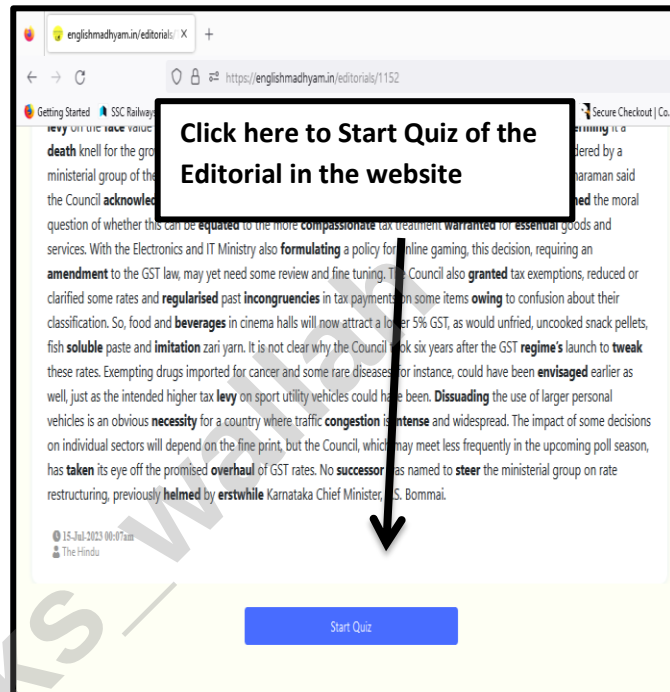
Summary of the Editorial

1. **Globalisation**, involving free flow of goods, services, capital, labour, and ideas, has greatly benefitted India since the early 1990s.
2. India's **average growth rate** rose to 6.5% (from 3.5% during 1950–1990) due to globalisation.
3. **Per capita GDP** increased significantly, from **\$320 to \$2,500**.
4. Even though **global trade in goods** has slowed since 2010, services, remittances, and capital inflows for India continued strongly until recently.
5. **Service exports**, especially software and business support through global capability centres, have expanded impressively in the last decade.
6. **Remittances** and **foreign capital** inflows remained robust for India during this globalisation phase.
7. However, this era of **globalisation-driven growth is facing structural challenges** and may be ending.
8. **IMF forecasts** world trade growth at only **1.7% in 2025** and **2.5% in 2026**, a sharp slowdown from earlier trends.
9. The decline is **structural and policy-induced**, not a result of temporary shocks like the pandemic or financial crises.
10. The **US**, historically a champion of free markets, has reversed course with higher tariffs and **trade wars**, especially with **China**.
11. **Trump-era tariffs** raised the US's effective tariff rate to the highest since **1901**, challenging free-trade assumptions.
12. This global slowdown could **hurt India's GDP growth**, possibly cutting it by 1% or more.
13. **Investment and hiring** decisions by businesses could be affected by **global uncertainties** and **geopolitical tensions** (e.g., with Pakistan).
14. Despite challenges, India's **macroeconomic fundamentals** are strong: low inflation, rising forex reserves, and a strengthening rupee.
15. Going forward, India must **focus on reforms** to improve the **ease of doing business** and **cut compliance burdens**, positioning itself for future global opportunities.

Practice Exercise: Banking Pattern Based



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